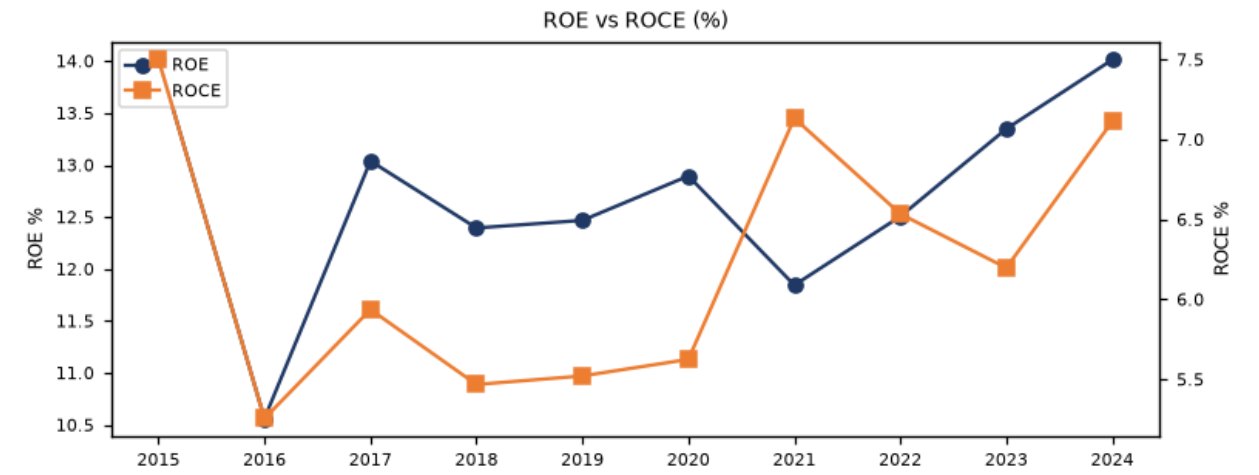
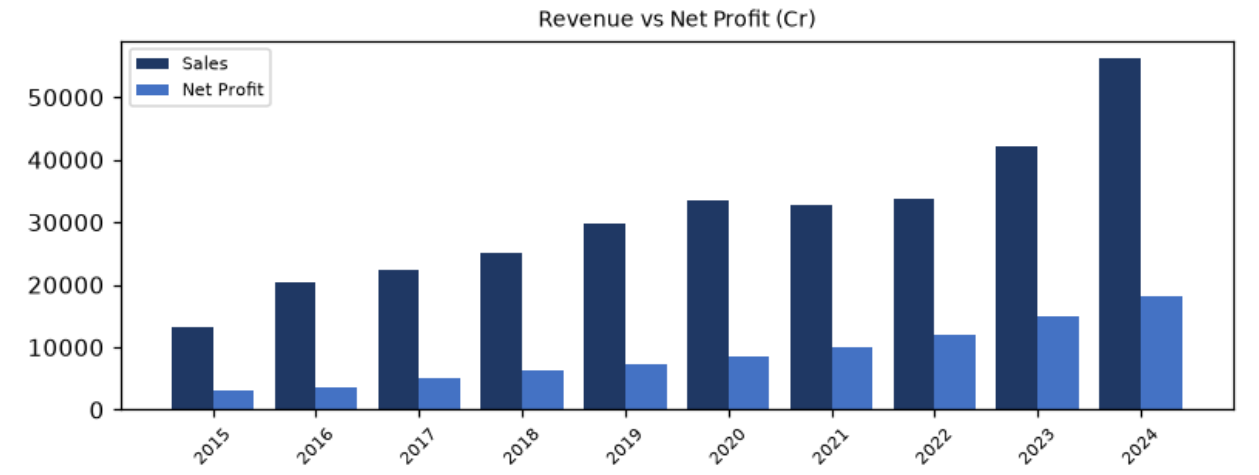


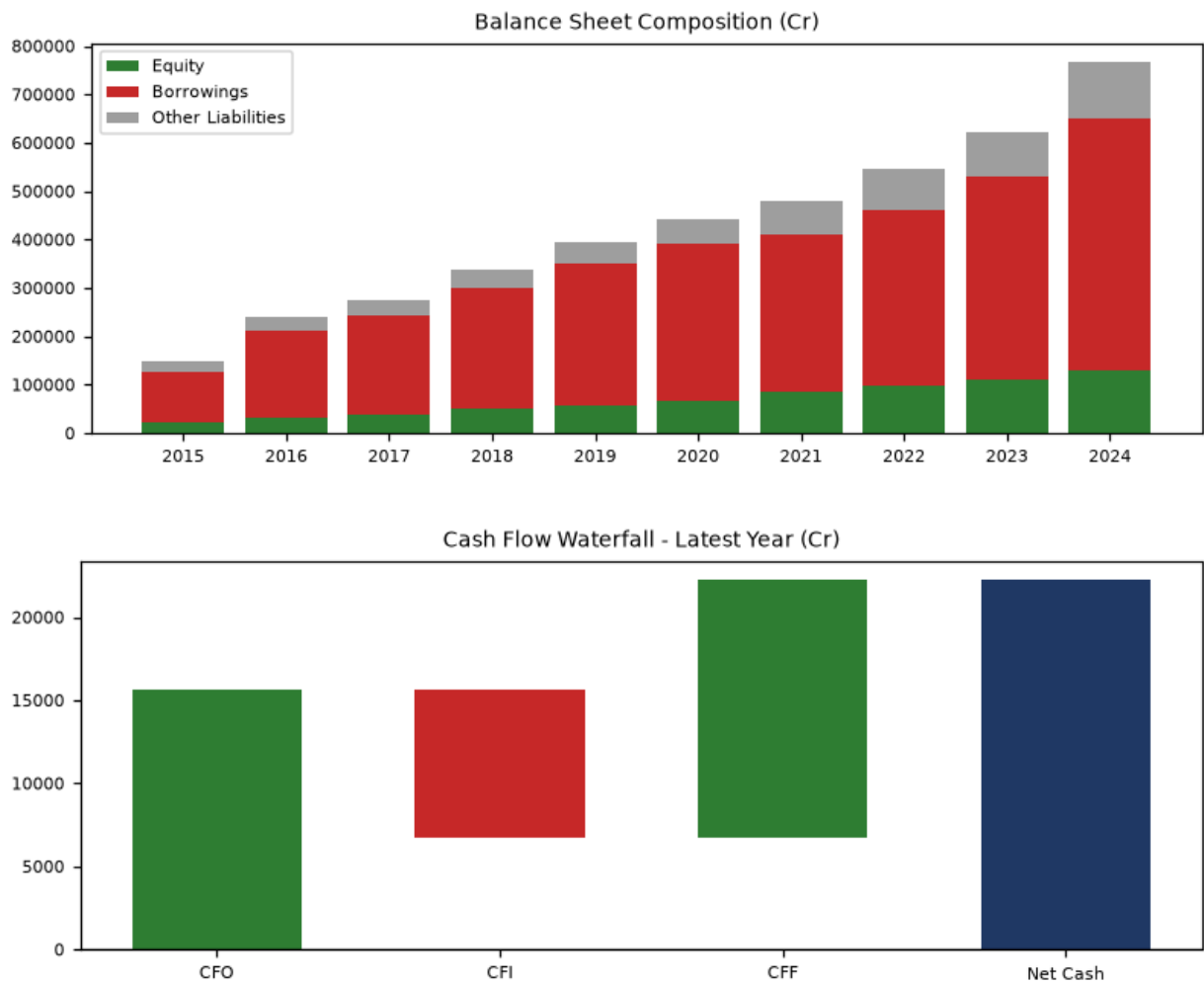
Kotak Mahindra Bank Ltd (KOTAKBANK)

Financials

|              |                       |                     |
|--------------|-----------------------|---------------------|
| ROE<br>14.0% | ROCE<br>7.1%          | Net Margin<br>32.4% |
| D/E<br>4.00  | Rev CAGR 5yr<br>13.5% | FCF (Cr)<br>6766    |



## Balance Sheet & Cash Flow



### Pros

- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Revenue growing slower than profits shows improving operating leverage and scale benefits
- Return on equity improving for 3 consecutive years shows strengthening business quality
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Net profit compounding at above 20% over 5 years creates significant shareholder value

### Cons

- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations

**Capital Allocation: Mixed**